Pricol Ltd (PRICOLLTD)

Concall tracker, Q2 2027 (Jul-Sep 2026) · Coimbatore maker of two-wheeler instrument clusters (speedometer displays), fuel and water pumps, and, since 2025, plastic moulded parts through its P3L unit.

1. Snapshot

Number	Value	Plain read
Q2 revenue (consolidated)	₹1,334 cr, up 35%	Its first quarter above ₹1,300 cr, helped by record two-wheeler sales.
Q2 operating margin	11.8% (12.5% a year ago)	Margin slipped as chip, circuit board and labour costs rose faster than prices.
Q2 net profit	₹85 cr	About 6 paise of profit on each rupee of sales.
P/E	37.1	Investors pay about 37 years of current profit.
Return on capital	23%	A good return on the money tied up in the business.
Market position	One of the largest two-wheeler fuel pump makers	Sells to TVS, Bajaj, Honda, Royal Enfield, Ather.

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY24 to Q4 FY25	Aug 2023 to May 2025	Skimmed for promises (8 calls)
Q1 FY26	Aug 2025	Yes
Q2 FY26	Nov 2025	Yes
Q3 FY26	Feb 2026	Skimmed
Q4 FY26	May 2026	Yes
Q1 FY27	Aug 2026	Yes
Q2 FY27	Nov 2026	Yes, in full ★

Twelve-plus calls over three years.

Latest concall highlights — Q2 FY27 (Nov 2026)

- Revenue up 35% to ₹1,334 cr; all three divisions grew at about the same pace with two-wheeler sales at a record.
- New TFT colour display clusters on the Bajaj Pulsar added value per bike.
- Margin squeezed by a weak rupee, costlier bare circuit boards (West Asia crisis) and memory chips (AI demand). Talks on recovering these costs from customers should conclude next quarter, but not fully.
- Plastics unit (P3L) at about 100% capacity; ₹350 cr capex over six quarters, real growth from FY28. Won business from Honda Motorcycles.
- Greenfield plant being commissioned in Aurangabad (Aug 2026 call). FY31 guidance kept.

Business mix & capacity

- Domestic vs export: mostly domestic two-wheeler and car makers; exports include large water pumps for Caterpillar in the US. Split not given in this call.
- Capacity: P3L plastics running at about 100%; new capacity over the next 12 months.

3. Earning trigger thesis

Pricol rides two-wheeler volumes and adds value per bike as displays move from basic to colour TFT and connected clusters. The plastics business bought from Sundaram Auto Components gives a second engine, now capacity-bound with new plants coming. Margins are the swing factor while electronic component costs stay high.

Trigger	What management said	Evidence so far	Time horizon	Strength
Premium display clusters	Value per bike rising with TFT clusters	Pulsar launch with new TFT clusters	Ongoing	Strong
P3L plastics	Double revenue in three years (2025)	Full at 100%, ₹350 cr capex, Honda win	FY28	Moderate: capacity first
Aurangabad greenfield plant	Being commissioned	Commissioning	FY27-28	Moderate
Margin recovery	12.5-13% normal margin	11.8% now, cost talks ongoing	Q3-Q4 FY27	Weak: depends on customers

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Not discussed.
New business	Yes	New Honda Motorcycles business for plastics; TFT clusters on Pulsar (Nov 2026).
Margin up	No	Margin down on input costs (Nov 2026).
New management	No	No change announced.
New capacity	Yes	₹350 cr P3L capex over six quarters; Aurangabad greenfield plant (Aug and Nov 2026).
Big orders	Yes	Sizable new plastics business from several OEMs including Honda (Nov 2026).
Turnaround	No	Not applicable.
Promoter buying	No	Not discussed.

The single concrete driver: More value per two-wheeler from premium display clusters, plus new plastics capacity for a P3L business that is already full.

3c. Margin bridge

Margin fell from about 12.5% to 11.8% as the rupee weakened and circuit board, memory chip and labour costs spiked. Normal cost pass-through still works; these new costs are being negotiated, with partial recovery expected (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2025	13-15% yearly growth	FY26 near ₹4,000 cr; H1 FY27 up about 30%	Delivered
May 2025	Normalised margin of 12.5-13% by Q2-Q3 FY26	12.5% Q2 FY26, 13.3% Q4 FY26, then 11.4-11.8%	Partly
2025	Double P3L revenue in three years	P3L full, capex under way	Too-early
May 2024	New Pune capacity as plants near 85% use	Expansion done, Aurangabad next	Delivered

Steady story: growth with two-wheelers, premium clusters, then plastics. Management reached its margin target in FY26 before costs it can't control pulled it back. The FY31 guidance has not changed.

5. Bottom line

Durable earning trigger? → YES

Sales are growing faster than the two-wheeler market and the plastics unit has more demand than capacity.

Management consistent? → YES

Growth promises were met and the margin target was reached before costs hit. They're upfront that they won't recover all of it.

6. Checkpoints for next quarter

- Cost recovery from customers is agreed next quarter
- Margin gets back above twelve percent
- P3L new capacity starts on the promised timeline

Sources: Screener.in financials (standalone) and concall transcripts; consolidated figures from the calls. This is not investment advice. Do your own due diligence.